No. 21-1397

IN THE
Supreme Court of the United States

IN RE GRAND JURY

On Writ of Certiorari to the United States Court of Appeals for the Ninth Circuit

BRIEF FOR THE PETITIONER

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Question Presented

Whether a communication involving both legal and non-legal advice is protected by attorney-client privilege where obtaining or providing legal advice was one of the significant purposes behind the communication.

Parties to the Proceedings

The parties to the proceeding are identified in the Sealed Petition for a Writ of Certiorari.

Corporate Disclosure Statement

The corporate disclosure statement included in the Sealed Petition for a Writ of Certiorari remains accurate.

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The Ninth Circuit's amended opinion regarding dual-purpose communications and its order denying the petition for rehearing are published at 23 F.4th 1088. Pet. App. 1a. The Ninth Circuit's memorandum opinion regarding other privilege issues is sealed and unpublished. Pet. App. 13a. The contempt order of the district court is sealed and unpublished. Pet. App. 20a. The redacted in-chambers order of the district court granting in part the government's motion to compel is sealed and unpublished. Pet. App. 23a.[1]

JURISDICTION

On September 13, 2021, the Ninth Circuit entered its judgment. On January 27, 2022, the Ninth Circuit denied a petition for rehearing and issued an amended panel opinion. The jurisdiction of this Court rests on 28 U.S.C. 1254(1).

FEDERAL RULE OF EVIDENCE INVOLVED

Federal Rule of Evidence 501 provides:

> The common law–as interpreted by United States courts in the light of reason and experience–governs a claim of privilege

[1] The district court issued two versions of its order, redacting certain information from Petitioner's copy and redacting different information from the government's copy. The version of the order contained in the Petition Appendix combines those redactions, removing all text redacted from each version of the order. The redacted information is not relevant to the question presented.

unless any of the following provides otherwise:

- the United States Constitution;
- a federal statute; or
- rules prescribed by the Supreme Court.

But in a civil case, state law governs privilege regarding a claim or defense for which state law supplies the rule of decision.

INTRODUCTION

The attorney-client privilege is a cornerstone of the American legal system. Without it, clients could not freely share information with their lawyers, and lawyers could not give their clients full and frank advice. Clients, however, routinely seek advice from lawyers with multiple goals in mind. And lawyers often respond in a way where legal and non-legal advice is intertwined. Those intertwined communications are known as "dual-purpose" communications. The Ninth Circuit in this case held that courts must evaluate all of the purposes for such a communication to determine the single primary purpose, and that the communication is privileged only when that one primary purpose is legal advice.

That approach is wrong. It unduly narrows the privilege because it withdraws protection from attorney-client communications that have a significant legal purpose any time a judge makes a post hoc determination that the communication also had some other, more important purpose. That inquiry requires courts to engage in an ad hoc balancing exercise that will create unacceptable

uncertainty and deter open dialogue between lawyers and their clients.

To ensure that the attorney-client privilege receives appropriate protection in the context of dual-purpose communications, courts should ask a more straightforward question: whether the communication has a significant legal purpose. If it does, the attorney-client privilege should and must apply. That test faithfully implements the core purposes that the attorney-client privilege exists to serve. And it will generate clear and predictable results that clients can understand and rely upon when deciding whether to trust their lawyer with sensitive information.

Petitioner, a law firm specializing in tax law, obtained information from and advised its Client about the many tax law issues that arise upon expatriation and prepared the tax filings required when a U.S. citizen expatriates. The Ninth Circuit held that certain dual-purpose communications made during that work were unprivileged because the legal purpose (advice about tax law) was not as significant as the non-legal purpose (tax form preparation work). By requiring that legal advice be the single primary purpose of the communication, the Ninth Circuit's approach denied the protections of the privilege to communications that had a significant legal purpose.

Clients and lawyers, including tax lawyers, routinely engage in dual-purpose communications and need clear and predictable rules that "encourage full and frank communication between attorneys and their clients." *Upjohn Co. v. United States*, 449 U.S. 383, 389 (1981). Indeed, the need for a robust

privilege in the tax context is particularly important given the extraordinary complexity of the tax code and the need to encourage taxpayers' voluntary compliance.

STATEMENT

1. a. Petitioner is a law firm that specializes in international tax issues, including the practice of advising clients on the tax consequences of expatriation. JA 16. Upon expatriation, most individuals are subject to an "exit tax." 26 U.S.C. 877A. All of the individual's property is treated as sold for its fair market value as of the day before the expatriation date, and the individual must pay federal taxes for "any gain arising from such sale." *Id.* 877A(a)(1)-(2). The expatriate must also certify whether he or she has satisfied all federal tax requirements for the prior five years. JA 17.

Expatriation implicates complex legal issues, and the Client's expatriation involved a particularly novel set of legal issues. JA 16; JA 32. Petitioner provided legal advice to the Client about how to determine ownership of cryptocurrency assets, appropriate methods for asset valuation, and tax filing strategies. Pet. App. 28a-29a; JA 32. Petitioner also prepared several of the Client's individual income tax returns and the Client's Form 8854, to certify compliance with expatriation tax requirements for the year of expatriation. Pet. App. 28a.

Petitioner was subsequently served with a grand jury subpoena seeking documents in connection with a criminal tax investigation of the Client. Pet. App. 23a, 31a. In response to the subpoena, Petitioner

produced over 20,000 pages of records, but withheld certain documents based on attorney-client privilege and the work-product doctrine. Pet. App. 31.

b. The attorney-client privilege protects from disclosure confidential communications between attorney and client made to obtain or provide legal advice. See *Fisher v. United States*, 425 U.S. 391, 403 (1976); Restatement (Third) of the Law Governing Lawyers § 68 (2000) (Restatement). "Its purpose is to encourage full and frank communication between attorneys and their clients and thereby promote broader public interests in the observance of law and administration of justice." *Upjohn*, 449 U.S. at 389.

In the tax context, courts have routinely held that "[t]ax advice rendered by an attorney is legal advice within the ambit of the privilege." *In re Grand Jury Subpoena Duces Tecum Dated Sept. 15, 1983*, 731 F.2d 1032, 1037 (2d Cir. 1984); accord, e.g., *United States v. Abrahams*, 905 F.2d 1276, 1284 (9th Cir. 1990) ("[C]ommunications made to acquire legal advice about what to claim on tax returns may be privileged."), overruled on other grounds by *United States v. Jose*, 131 F.3d 1325 (9th Cir. 1997); *United States v. Cote*, 456 F.2d 142, 144 (8th Cir. 1972) (holding that communications designed to address "whether the taxpayers should file an amended return undoubtedly involved legal considerations which mathematical calculations alone would not provide" and were therefore privileged). But, particularly if an attorney is preparing a client's tax returns, not all communications will necessarily fall within the attorney-client privilege. For example, conveying the amount of a taxpayer's income on a W-2 form or names of dependents so that the attorney can list

that information on a tax form would not be privileged.[2]

c. Some of the communications Petitioner withheld on the basis of attorney-client privilege were made both to allow Petitioner to provide the Client with legal advice about how to comply with the tax laws and to facilitate Petitioner's mechanical preparation of the Client's tax returns. These "dual-purpose" communications included, for example, interpretations of unsettled statutory requirements regarding whether certain assets are subject to Treasury Department foreign reporting requirements, strategies for filing amended income tax returns, and the Client's questions about and comments on draft submissions to the IRS advocating for the abatement of a penalty assessment. See Part IV, *infra*. The government filed a motion to compel Petitioner to produce the withheld records. Pet. App. 31a.

2. The district court applied what it described as "the primary purpose test" to analyze the dual-purpose communications. Pet. App. 43a. The court rejected the government's assertion that legal advice could not be privileged at all if it "relate[d] to tax return preparation." *Ibid.* The court acknowledged

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[2] Several courts have held that communications with an attorney "made solely for tax return preparation are not privileged." *Abrahams*, 905 F.2d at 1284. This Court need not address here precisely where the line falls between communications related to the mechanics of preparing a return or effectuating basic mathematical calculations, which would not be privileged, and communications to ensure that a filed return complies with the Internal Revenue Code, which should be privileged because they will require judgments about what the law allows or requires.

that the D.C. Circuit had held, in an opinion written by then-Judge Kavanaugh, that the attorney-client privilege applies if "solicitation of legal advice was one of the material purposes of the communication." Pet. App. 42a (citing *In re Kellogg Brown & Root, Inc.*, 756 F.3d 754, 760 (D.C. Cir. 2014)). But the district court rejected that standard, holding instead that "the relevant consideration is whether the primary or predominate purpose of the communication was to seek legal advice, or to provide the corresponding legal advice." Pet. App. 43a.

In the same subsection in which the district court held that the dual-purpose communications were not privileged under the "primary or predominate purpose" test, it separately found that other communications were not protected because one of Petitioner's non-lawyer accountants "provided advice as an accountant." Pet. App. 54a. The district court found, however, that this same accountant often served as an agent for the Client's attorneys, and when she acted in that agent role, communications between her and the Client for the purpose of obtaining legal advice were privileged. Pet. App. 51a; see also *United States v. Kovel*, 296 F.2d 918, 921 (2d Cir. 1961) ("the privilege must include all the persons who act as the attorney's agents"). The district court ultimately ordered the production of 54 documents as not privileged based on this part of its decision without specifying which of the two rulings in the subsection applied to each document. Pet. App.

54a.[3]

Petitioner declined to produce the documents. The district court subsequently held Petitioner in contempt for its non-compliance. Pet. App. 20a. The court stayed its contempt sanction to allow Petitioner to appeal. Pet. App. 21a.

3. The Ninth Circuit affirmed. The court of appeals held "that the primary-purpose test applies to attorney-client privilege claims for dual-purpose communications." Pet. App. 6a. The court rejected the government's argument, based in part on Seventh Circuit authority, "that dual-purpose communications in the tax advice context can never be privileged." Pet. App. 5a n.2. The Ninth Circuit then addressed what test to adopt to determine whether a dual-purpose communication is privileged. Pet. App. 6a-12a. Like the district court, the Ninth Circuit recognized that the D.C. Circuit had applied a test that assesses whether obtaining or providing legal advice was "one of the significant purposes of the communication," rather than the primary purpose of the communication. Pet. App. 10a (quoting *Kellogg*, 756 F.3d at 760).

SUMMARY OF THE ARGUMENT

The court of appeals adopted a test for attorney-client privilege that fails to protect the ability of clients to seek and obtain the full and frank advice of

[3] Given the grouping in the district court order, Petitioner submitted a list of all 54 of those documents to the Ninth Circuit under the heading of "dual-purpose" documents. CA9 Opening Br. at 25 & n.15; *id.* at 59-60 (Ex. A). All of these 54 documents are included in the Sealed Joint Appendix, with the court-ordered redactions shown.

their lawyers. Every day, clients seek lawyers' advice for overlapping legal and non-legal purposes. By withdrawing the protection of the attorney-client privilege from such dual-purpose communications whenever a court later makes an ad hoc judgment that the non-legal purpose outweighs the legal purpose, the Ninth Circuit's single primary purpose test undermines the public interest in protecting confidential communications between lawyers and clients.

The significant purpose test adopted by the D.C. Circuit in *Kellogg* appropriately protects attorney-client dual purpose communications. That test asks a single question that arises directly from the long-established test for attorney-client privilege: whether a client is seeking or obtaining confidential legal advice from his or her lawyer.

This Court is charged with interpreting the scope of the attorney-client privilege "in the light of reason and experience." Fed. R. Evid. 501. Both reason and experience support the adoption of the significant purpose test. First, by protecting significant confidential communications relating to legal advice, regardless of whatever other purposes the communication may also serve, the test neither expands nor contracts the long-established boundaries of the privilege.

ARGUMENT

I. Dual-Purpose Communications Are Entitled To Robust Attorney-Client Privilege Protection

1. "The attorney-client privilege is the oldest of the privileges for confidential communications known to

the common law." *Upjohn*, 449 U.S. at 389. Decisions about the scope of the privilege are "guided by 'the principles of the common law * * * as interpreted by the courts * * * in the light of reason and experience.'" *Swidler & Berlin v. United States*, 524 U.S. 399, 403 (1998) (quoting Fed. R. Evid. 501). The privilege protects from disclosure confidential communications between a client and attorney made to obtain or provide legal advice. See *Fisher*, 425 U.S. at 403.

This Court has long recognized that a robust attorney-client privilege safeguards vital public interests. As the Court explained in *Upjohn*, the privilege "promote[s] broader public interests in the observance of law and administration of justice." 449 U.S. at 389. The privilege achieves those public interests by "encourag[ing] full and frank communication between attorneys and their clients," on the understanding that such open and honest dialogue will provide attorneys with the full information they need to provide "sound legal advice" to their clients. *Id.*

CONCLUSION

The judgment of the court of appeals should be reversed.

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Certificate of Compliance

I certify that this brief complies with the word limit of Supreme Court Rule 33.1(g), 13,000 words for a brief on the merits for a petitioner or appellant, and that it contains 2,271 words, excluding the parts that Rule 33.1(d) excludes.

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